

Chris Giles on Central Banks **Central banks**

How central banks should navigate an uncertain 2026

Communicating better about what they don't know would be a start



Research suggests fan charts are superior at communicating uncertainty and reducing the public's feeling of betrayal when forecasts turn out to be wrong © Henry Nicholls/AFP/Getty Images

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Published DEC 16 2025

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Surveys of public understanding about monetary policy tend to be dismal affairs. People are [pretty clueless](#) about inflation, overestimating its level; they do not think in neat annual chunks of time; they worry when prices rise above quite low thresholds; and they overestimate their knowledge. [Newer research](#) shows they take credit for their wage rises, but blame others for a rising cost of living. That greatly complicates the task of setting monetary policy.

This lack of understanding and increased suspicion have contributed to a sharp decline in public satisfaction with the work done by the Bank of England, US Federal Reserve and other central banks, as the chart below shows.

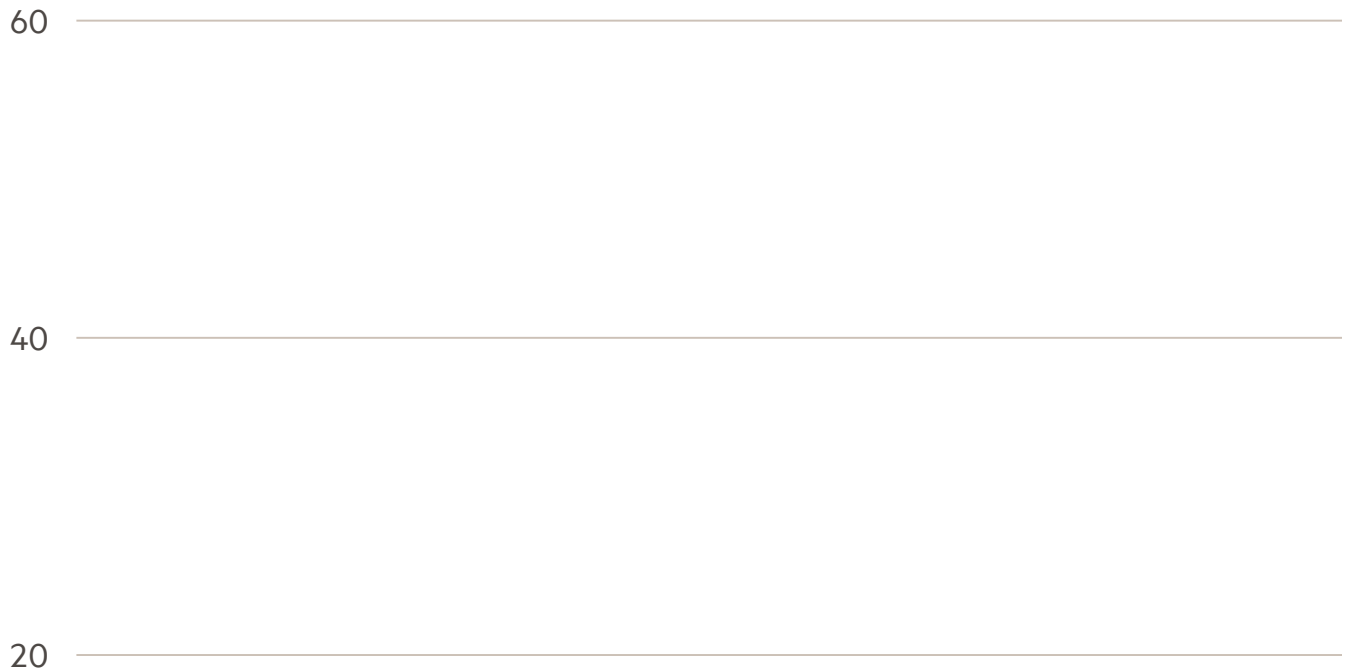
When faced with a highly uncertain outlook for 2026, central banks need some help in understanding how best to get their message across (assuming, of course, that their policy is set correctly).

Public satisfaction with the Bank of England and Federal Reserve is fragile

Net satisfaction with performance (%)



Satisfaction



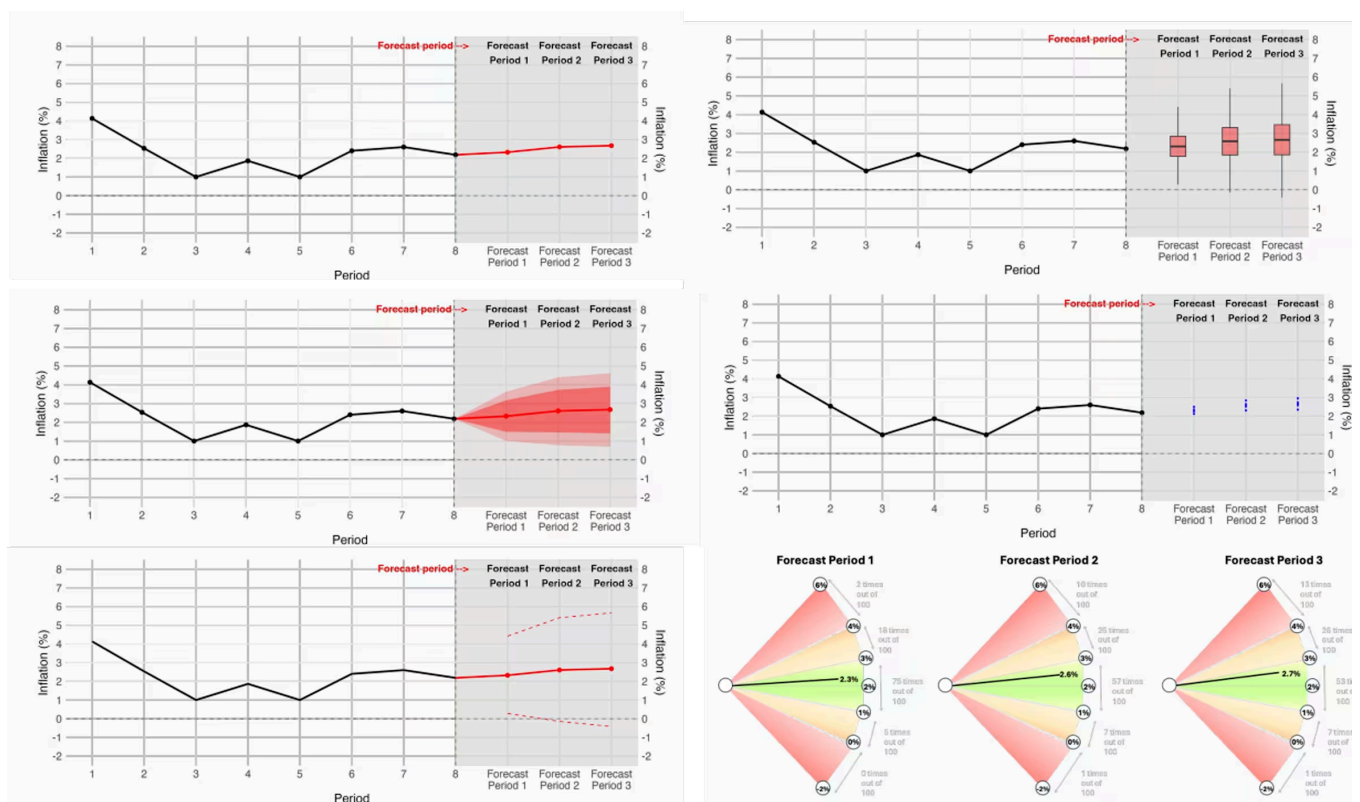
A lovely piece of research currently being presented in universities and central banks seeks to help out with that task. It asks: how best should central banks communicate uncertainty? It [is being led by professor Michael McMahon](#) of Oxford university, alongside co-authors Matthew Naylor, Ryan Rholes and Peter Rickards.

The first part of the research attempts to work out what visual presentation of forecasts members of the public and an expert panel objectively understand best and like most.

The trial showed people six presentations of forecasts (shown below) and then asked them objective questions about the data to test their understanding. The six alternatives tested point forecasts, a fan chart, a point forecast with a range, a box and whiskers plot, a dot plot and a (hateful) speedometer approach.

Both the public and experts preferred the point forecasts, although the fan charts and dot plots also scored highly. The speedometer was a turkey in terms of what people said they liked and understood.

When it came to objectively testing which one best conveyed uncertainty, obviously the point forecast scored very poorly because it ignores that issue. Dots conveyed too much certainty. Fan charts did best among the public and experts in striking the balance between being liked and accurately highlighting uncertainty.



With these results to hand, the second question the research sought to address was how people react when a central bank gets its forecast wrong, as we have seen quite a bit recently. Does the presentation of a forecast alter the way people react to central bank forecast errors?

Here, the research tested point forecasts against a fan chart in a lab experiment in which people were motivated with money to give genuine answers. They were given a time series of inflation data extracted from a standard model of an economy and asked to give a forecast, knowing their payout would depend partly on their accuracy. Then they were shown a “central bank forecast” and asked whether they wanted to update their own prediction.

The researchers then showed them the real outcome for the first year, which came from a random draw of possibilities from the model, and asked them for their updated predictions. Finally, they were given a new central bank forecast on the basis of the outcome in the first period to see whether they still trusted the central bank, especially if it had made a big error initially.

Here is a brief summary of the results:

People were overconfident in their own calibration of the uncertainty of forecasts. This will surprise nobody, but it shows it is not just [artificial intelligence that bullshits](#) when it does not know.

People anchor their forecasts on those produced by the central bank, so the monetary authority has an important role in shaping expectations.

Point estimates in forecasts are better at anchoring expectations than fan charts.

But when errors are revealed, people feel more betrayed if they had initially been served with a point estimate rather than a fan — especially if the error was large.

People are still willing to be influenced by a second central bank forecast, whether it comes from a point estimate or a fan chart. This indicates that the loss of central bank credibility is not that large in a lab setting.

McMahon concludes that the results of both estimates show the value of fan charts in communicating uncertainty and reducing the feeling of betrayal when forecasts turn out to be wrong.

But he told me that the lab setting might be skewing the final result, because participants were forced to continue to engage. In real life, they might well just stop listening and go and do something else.

Rejoice for Fed profitability

It is the time of year for cheer, so I can bring you the good news that the Fed is broadly profitable again now that its interest rate has fallen.

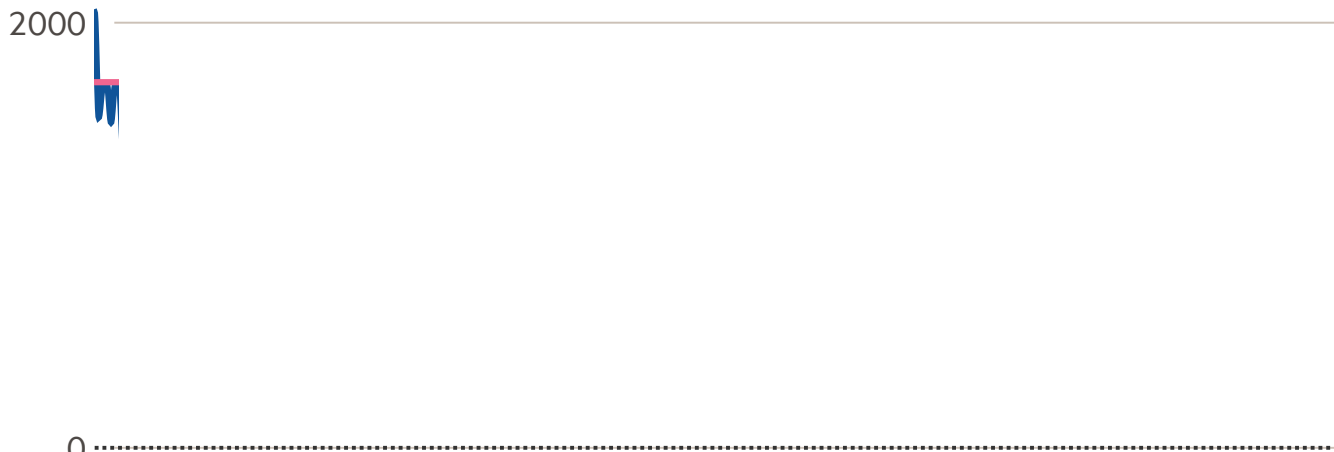
The Fed pays [interest on banks' reserve balances](#) at the midpoint of its fed funds target range, which is currently 3.65 per cent. It holds mostly US Treasury bonds with variable yields.

When short-term interest rates were high, the Fed made a loss. But this loss has fallen as rates have come down and quantitative tightening has reduced the overall balance sheet size.

The Fed is moving back into profit as interest rates have fallen

☐ Fed funds rate ☐ Weekly remittance to US Treasury

Weekly profit at the Fed (\$mn)

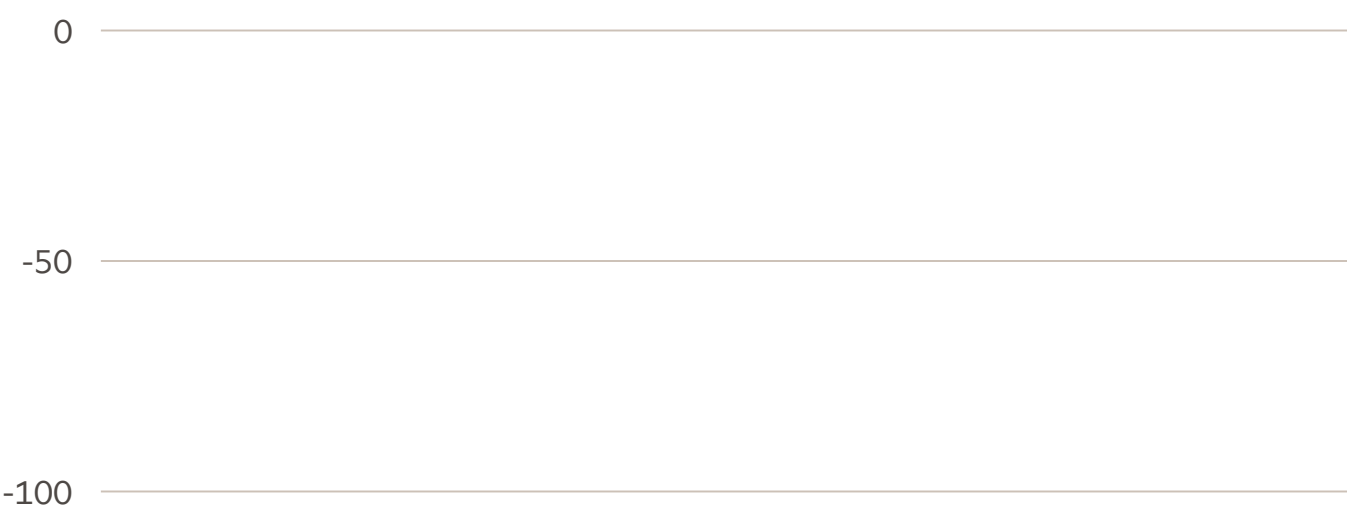


Because the US likes to brush these losses under a huge carpet in the Fed’s Eccles building rather than recognise them in government accounts, they accumulate as a “deferred asset” of about \$240bn on the central bank’s balance sheet. In reality, these are future remittances of profits to the US Treasury that will not materialise.

The Fed is now reducing this deferred asset. But this will not help reduce the US fiscal deficit for many years until the \$240bn is repaid.

Paying off the Fed's accumulated losses will take years

Remittances due to the US Treasury (\$bn)



What I've been reading and watching

JPMorgan's chief executive Jamie Dimon has [given Kevin Warsh the thumbs up](#) in the battle to become Fed chair. Whoever gets the nod will work with all the current regional Fed presidents now that they have been [approved](#) by the Fed's board to serve another five-year term from March 2026. [The vote](#) came earlier than expected and was unanimous, surprising everyone.

Frustrations with China's growing trade surpluses are continuing, with Mexico [imposing up to 50 per cent tariffs](#) on Chinese goods. The move was, of course, made as much with an eye on maintaining Mexico's trade deal with the US.

Who would have thought a decade ago that [Greece would supply the Eurogroup](#) member states with a president on a unanimous vote? It shows how far the country has progressed since it ditched populism.

If you want some good news — relative to what is reported, at least — I wrote about the UK economy [being healthier than you've been told](#).

One last chart

Last week President Donald Trump enjoyed messing with the high expectations that his pick for Fed chair would be Kevin Hassett. In [an interview with the Wall Street Journal](#), he said the choice was between the two Kevins (Hassett and Warsh).

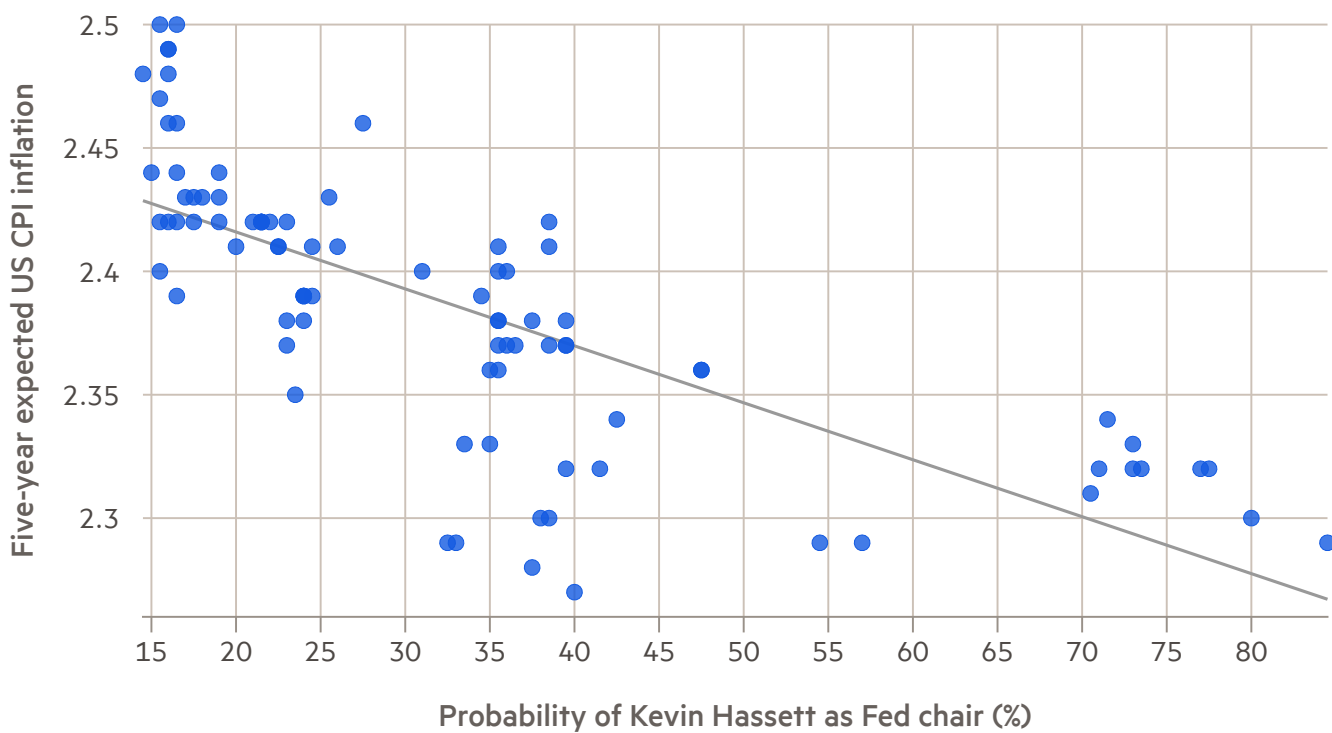
Separately, Hassett has come under some fire for being perceived as both too close to Trump and a threat to inflation. Bond investors have [warned the US Treasury](#) that Hassett does not have the credibility they want.

The problem with these warnings is that there is nothing to see in the correlation between Hasset's odds of becoming Fed chair and five-year forward financial market break-even rates. If he really did spook the market, this is where you would see higher inflation expectations.

There is nothing causal in the relationship below. But the negative correlation between the odds of Hasset becoming chair and expected inflation suggests markets do not perceive him as an inflation risk. Of course, market pricing can be wrong.

Financial markets think Kevin Hasset becoming Fed chair is benign for inflation

Correlation between odds of Hasset becoming Fed chair and five-year inflation expectations from August 2025



FINANCIAL TIMES

Sources: St Louis Fed, Polymark

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